



CA INTER MAY 2026

AUDITING & ETHICS

**COMPLETION
AND REVIEW (SA 260, 265,
SA 560, 570, 580, 450)**

ONE SHOT



CHAPTER 9: COMPLETION & REVIEW (SA 560, 570, 580, 450)

SA 560 Subsequent Events: [Link with AS-4 & Ind-AS 10]

➤ Subsequent Events:

Meaning	Events occurring between : • Date of the financial statements and • Date of the auditor's report, Facts that become known to the auditor : • After the date of the auditor's report.		
2 Types		Type 1: Existed on Date of FS	Type 2: After date of FS
That provide evidence of conditions		Existed at date of financial statements	Arose after date of financial statements
Adjusted:		Adjustments require in FS	Not Adjustments require in FS, Only Disclosure
Example:		- Debtor existed on BS date, but became insolvent after - Legal dispute existed on BS date, settled after BS	- Loss of P&M by Fire after BS - Sale of Share & Debenture - Issue of new Share capital - Planned merger of the company - Destruction of substantial inventories due to fire between the date of the FS and the date of auditor's report.
Objective:	• Obtain SAAE about whether events occurring between the date of the FS and auditor's report that require adjustment of, or disclosure • Respond appropriately to facts → become known to auditor after auditor's report → that may have caused the auditor to amend the auditor's report.		
"FS issue date" means:	Q1. SA 560 → what is meant by " Date the financial statements are issued "? (MTP'24) • It reflects the date when auditor's report & audited FS are made available to 3rd parties. • It depends on regulatory environment (i.e., SEBI laws/ROC etc), In some circumstances, the FS issue date may be the date that they are filed with a regulatory authority. • Since Audited FS can-not be issued without auditor's report, So, Audited FS Can-not be issued: ✓ before the date of audit report. (So FS issue date = On/After Date of audit report) ✓ until Auditor's report is provided by the auditor to entity. Therefore, "date the FS are issued" can be later than date of providing auditor's report to the entity.		

Q2. SA 560, deals with auditor's responsibilities relating to subsequent events in FS audit. **Explain those events (Old)**

Q. 31/03/2025 → on 10th April 2025 one debtor become insolvent (existed on 31/03) "&" In May'25 Company planning some merger also (identify 2 types of events & how you would classify these Sub. events) [Sept'25]

Hint: explain "Meaning" & "2 types" & "Objective" → **INSOLVENCY** (requires adjustment) & **MERGER** (require disclosure)

➤ Audit Procedures for Subsequent Event:

- **Case I)** Regarding Events Occurring **between**:
 - Date of the **Financial Statements** and
 - Date of the **Auditor's Report**

SAAE:	- Auditor shall perform audit procedures designed to obtain SAAE that all events occurring between the date of the FS & the date of auditor's report that require adjustment or disclosure in, FS have been identified - However, Auditor is not expected to perform additional audit procedures on matters to which previously applied audit procedures have satisfactory conclusions
Audit Procedure: (Specific A. Proced. To include in his Risk Assmnt) <i>Mngt se pucho uska procedure, usse koi SE mila ? ab apni dimaag lagao</i>	Q3. What audit procedures (SA 560) should auditor perform based on risk assessment to identify events occurring between date of FS and A. report that require adjustment or disclosure? Auditor shall perform the procedures required above, cover the period from the date of the FS to the date of the auditor's report. Auditor shall consider following for risk assessment: Obtaining understanding of any procedures management has established to ensure that subsequent events are identified. Inquiring of Mngt & TCWG as to whether any subsequent events have occurred which might affect the FS Reading minutes, if any, of meetings, of the entity's owners, mngt and TCWG, that have been held after the date of the FS and inquiring about matters discussed at any such meetings for which minutes are not yet available - Reading the entity's latest subsequent interim FS, if any. When, as a result Above Procedure, auditor identifies any events that require adjustment of, or disclosure in FS → determine whether each such event is appropriately reflected in FS.
W.R:	Q4. CA Chandni has performed necessary audit procedures like inquiry of mngt personnel, reading minutes of meetings held after date of FS, going through books of accounts after date of FS to make sure that all subsequent events before signing audit report have been considered by her. Still, she wants to be certain that no such events have been left out. What she should do in such a situation? Also, discuss the rationale of doing so. Answer: She has already performed necessary audit procedure (like inquiry, reading minutes), Now Auditor shall request Mngt and, where appropriate, TCWG, to provide a written representation in accordance with SA 580, That all events occurring subsequent to the date of FS & for which the applicable FRF requires adjustment or disclosure have been adjusted or disclosed. The rationale of obtaining W.R. is that even after performing abovesaid procedures, she may not come to know all subsequent events. Therefore, it is necessary from an auditor's point of view to obtain acknowledgment from mngt in the form of W.R that all such events for which the applicable FRF requires adjustment or disclosure have been adjusted or disclosed.
Inquiries: [in Audit Procedure: Point no. 2] [NOT IN NEW ICAI SM]	Auditor may make specific inquiries about the following matters: Trick: Asset Related - Whether any assets have been appropriated by government or destroyed, Eg., by fire/flood. - Whether sales or acquisitions of assets have occurred or are planned. - Whether any events have occurred that are relevant to the recoverability of assets. Liability Related: - Whether new commitments, borrowings or guarantees have been entered into. - Whether any events have occurred that are relevant to the measurement of estimates or provisions made in the financial statements. - Whether there have been any developments regarding contingencies. Share Capital Related: - Whether there have been increases in capital or issuance of debt instruments, eg. issue of

new shares or debentures, or agreement to merge or liquidate has been made or is planned.

Remaining is Unusual:

- (viii) Whether any **unusual accounting adjustments** have been made or are contemplated.
- (ix) Whether any events have occurred or are likely to occur that will bring into question the appropriateness of accounting policies used in FS, as would be the case, for example, if such events call into question the validity of the going concern assumption.

MCQ: Audit of FY 2023-24 → For Sub. Event procedure → Read the minutes of meeting held till 31.3.24 → wrong

Q5. Q auditors should consider the effect of subsequent events on the FS and auditor's report"- Comment SA 560.

Q. what specific audit procedures should CA Arjun include in his risk assessment to address subsequent events ?

Q. FY 2022-23, Fire broke out in Warehouse on 25th June 2023, Audit report is yet to sign. (he is unaware of that event and is in process of signing this report in July) → State A.Procedure to obtain SAAE & Auditors responsibility for it.,

Hint: Refer Above "Case - 1 : Audit Procedure" → ["**SAAE**" & "**Audit Procedure**"]

Q6. Inquiry from mngt is helpful for Auditor to evaluate subsequent events. Discuss specific enquiries. **[OLD]**

Hint: Refer Above "**Inquiries** :

➤ Auditor's Obligation for Event Occurring "AFTER DATE OF AUDITOR'S REPORT" :

Case II- But Before Date of FS are issued

1st Para - GENERAL PROCEDURE:

- Auditor has **no obligation** to perform any procedures regarding the FS after the date of auditor's report.
- However, when, **after the date of auditor's report but before date FS are issued, a fact becomes known to the auditor:**
May caused to **Amend** auditor's report, auditor shall:
 - **Discuss** the matter with mngt. & TCWG
 - Determine **whether FS need amendment**
 - Inquire **how** mngt intend to address matter in FS.

Option 1: If Mngt Amends the FS: (2nd Para)

(and Amendment is **not restricted only to the subsequent event causing amendment** - refer "Para 3")

- a) Carry **audit procedure necessary** in circumstance
- b) **Extend audit procedure** to date of new A.report
- c) Provide **new A. Report** on amended F.S

New A.Report shall **not be dated earlier** than date of approval of amended F.S

Option 2: When L&R / FRF Allows the mngt to amend FS but Amendment is restricted only for Subsequent event identified:

Then, Auditor is allowed to **restrict the audit Procedure on that Specific Subsequent event** (i.e. Not require to examine all other Subs. Events also):
Auditor shall either:

- a) **Dual Date: Amend A.Report** and include **Additional**

Case III- But After Date of FS have issued

1st Para - GENERAL PROCEDURE:

- After FS have been issued, Auditor has **no obligation** to perform any audit procedures regarding such FS.
- However, when, **after FS have been issued, a fact becomes known to auditor** that, had it been known to the auditor at the date of auditor's report, May caused to **Amend** the auditor's report, auditor shall:
 - **Discuss** the matter with mngt. & TCWG
 - Determine **whether FS need amendment**
 - Inquire **how** mngt intend to address matter in FS

Option 1: If Mngt Amends the FS: (2nd Para)

- a) Carry **audit procedure necessary** in circumstance
- b) Review the **steps taken by mngt** to ensure that anyone who received previously issued FS together with A.report thereon is informed of situation.

(Rest is same as already discussed in CASE II, consider 1 new point as below)

Shall also include **EOM/OM**: "referring to Note of FS, discuss the **reason for amendment** in FS"

Option 2: When L&R / FRF Allows the mngt to amend FS but Amendment is restricted only for Subsequent event identified:

(Rest is same as already discussed in CASE II)

In new/amended A.report → Shall also include



date restricted to that amendment, [Mention that Audit Procedure on subsequent events are restricted solely to the amendment made in FS as mentioned in the relevant note to the FS] b) Provide a new or amended A.report & include a statement in an EOM or OM Para, that conveys that: [Same as Point (a), i.e., Procedure restricted.....]	EOM/OM: "referring to Note of FS, discuss the reason for amendment in FS"
<u>When L&R / FRF Not require to issue amendment FS:</u> Auditor is Not require to provide New/Amend A.report	<u>When L&R / FRF Not require to issue amendment FS:</u> Same as discussed
<u>When auditor's believe that amendment require, still mngt does Not amend the FS:</u> ➤ <u>When A.Report Yet not provided to Entity</u> → Modify opinion as per SA 705 ➤ <u>When A.report issue to Entity</u> → Notify Mngt & TCWG (unless all TCWG involve in mngt), not issue FS to 3rd Party before amendment. ➤ <u>If FS is still issued to Users</u> → Auditor shall take appropriate action, to seek to prevent reliance on A.report	<u>When auditor's believe that amendment require, still mngt does Not amend the FS "Or" Mngt not take necessary step to inform existing users of FS:</u> ➤ Notify Mngt & TCWG (unless all TCWG involve in mngt), that auditor seek to prevent future reliance on A.report. ➤ Still <u>if mngt/TCWG Do NOT take necessary step:</u> auditor shall take appropriate action to seek to prevent reliance on the auditor's report.

Author's Note: If Qn is silent regarding "Whether Amendment is restricted or Not" → always Assume that Amendment is "NOT RESTRICTIVE" i.e., **OPTION 1**

Q7. auditor has no obligation to perform any audit procedures regarding the FS after the date of auditor's report. but, when, **after the date of the auditor's report but before the date the FS are issued, [OLD]**

Hint: Refer above Case-II → 1st Para only

Q8. FY 31/03/24 → A.report signed on 19/04/2024. → On 25/04/24 received govt communication reg. Rs 5 Crore incentive pending, Approved now & would paid before Apr'24. (FS is not yet Issued) → Director wish to amend FS by include it in FS of 31/03/24. → requested auditor to issue fresh report. (Sept'24)

Hint: → [Refer Above Notes: Case II - After Date of Audit Report, But Before Date of FS are issued] (Don't mention Option 2 i.e., Dual dating) → (Explain the Given Case, exact same as Question)

Auditor can issue new A.report but date of A.report should not be earlier than date of amended FS approval

Q9. The audit is nearing completion in July 2022. However, it becomes known to auditor that **one of overseas buyers has made a legal claim** against the company on 1st June 2022 for injury caused to a customer due to sub-standard dyes used in rugs of one lot of order shipped in Aug'21. The mngt of company has decided to agree to an **out of court settlement of Rs.5 crore** to protect its reputation. The FS of company are silent on this issue. Discuss, how, CA PK Jacob should proceed (**Hint: Case I**) [SM & MTP May'25]

Hint:

Legal claim **before issue of audit report**, mngt agreed out of court settlement. It's **example of subsequent event** between FS Date & A. report. It provides evidence of conditions existed at FS date & **requires adjustment in FS.**

He should **ask company management to make necessary adjustment** to the FS. If adjustment is not made by management, he should consider **impact on auditor's report**

Auditor's Responsibility reg. Subsequent Event between FS & Date of A.Report: [**Identified → adjusted in FS → WR**]

- **Perform audit procedures designed to obtain SAAE that all events** occurring between the date of FS & auditor's report that require adjustment of, or disclosure in, the FS have been **identified.**

- If such subsequent events that require adjustment of, or disclosure, it shall be determined **whether each such event is appropriately reflected in those FS.**
- **Obtain a written representation** from mngt or TCWG that all events occurring subsequent to the date of FS and for which the applicable FRF requires adjustment or disclosure have been **adjusted or disclosed.**

[Q: In Jan'26 Qn came → what's Auditor responsibility when Fact became known to Auditor After issuing auditor report → In answer ICAI has Mentioned **FULL CASE II** above]

SA 570 - GOING CONCERN:

GC basis of accounting:

[Few Lines added - PDF notes]

Q. Explain the **concept of going concern** and its **significance in the preparation of FS**, linking it with the **objectives of SA 570** regarding the auditor's evaluation of the going concern assumption. [MTP Jan'26]

- Going concern is one of the **fundamental accounting assumptions**. The enterprise is normally viewed as a going concern, that is, as **continuing in operation for the foreseeable future**.
- SA 570 requires the **auditor to obtain SAAE** regarding and conclude on the **appropriateness of management's use of the going concern basis of accounting** in the preparation of FS.
- Under the going concern basis of accounting, the **FS are prepared on the assumption** that entity is a going concern and will **continue its operations for the foreseeable future**.
- General purpose FS prepared using the GC basis of accounting, **unless management** either
 - (i) **Intends to liquidate** the entity or to cease operations, or
 - (ii) has **no realistic alternative** but to do so.

Based on the **audit evidence** obtained, the **auditor** also has to **conclude** → **whether any material uncertainty exists** that may **cast significant doubt on the entity's ability** to continue as a going concern

- When use of GC basis of accounting is appropriate → It Means → assets and liabilities are recorded on the basis that the entity will be able to **realize its assets and discharge its liabilities** in the normal course of business.
- When an enterprise is NOT viewed as a going concern → the **FS are prepared on liquidation basis**. For example, inventories may need to be written down as these may be sold for a lower price. Assets may have to be recorded at the likely prices they will fetch.

➤ The **auditor must report** appropriately as required by SA 570, → whether the G.C basis is **appropriate**, whether **adequate disclosures** made, and whether a **material uncertainty** exists.

SA 701 KAM

When SA 701 applies:

- **Matters relating to going concern** may be **determined to be key audit matters**, and
- Explains that a **material uncertainty related to events or conditions** that may cast significant doubt on the entity's ability to continue as a GC is, by its nature, a KAM

Mngt. Responsibilities:

- It is Mngt responsibility **to assess entity's ability to continue as a going concern**
- **Even if FRF not include an explicit requirement** to do so.

Q10. Management's assessment of the entity's ability to continue as a going concern involves making a judgement about inherently uncertain future outcomes of events or conditions. What are relevant factors to that judgement (Old - Jan'21)

Answer:

Mngt's assessment about entity ability to Continue as G.C involves making **Judgement about** → inherently uncertain **future outcomes of events** or conditions.

Following factors are relevant for Judgement:

- a) The **degree of Uncertainty** associated **with the outcome of an event or condition**

Mngt "SUB" ko judge karta h..



<u>saare employees ko</u>	increases significantly the further into the future an event/condition or outcome occurs. b) The Size and complexity of the entity, the nature and condition of its business and the degree to which it is affected by external factors affect the judgment regarding the outcome of events or conditions. c) Any judgment about the future is Based on information available at the time at which the judgment is made. Subsequent events may result in outcomes that are inconsistent with judgments that were reasonable at the time they were made				
Evaluate Mngt Judgement:	Auditor shall evaluate the mngt assessment of GC → If Mngt Assessment is for less than 12 month from FS date → then requires auditor to Extend its assessment atleast for 12m				
Auditor's Responsibility: (RTP 2021) (This responsibility exist even if not explicit requirement of FRF reg. mngt GC assessment)	1) to obtain SAAE regarding appropriateness of Mngt use of the GC basis of accounting in the preparation of the FS, and 2) to conclude, based on audit evidence obtained, whether a material uncertainty exists about the entity's ability to continue as a going concern. Not Guarantee: As per SA 200, Due to Inherent limitation → Auditor cannot predict such future events or conditions → that may cease to continue as a going concern Accordingly, Absence of any reference to a material uncertainty about the entity's ability to continue as a GC in an auditor's report cannot be viewed as a guarantee as to the entity's ability to continue as a going concern.				
Auditor's Objective / Purpose:	Q11. When the use of going concern basis of A/cing is appropriate, assets and liabilities are recorded on the basis that the entity will be able to realize its assets and discharge its liabilities. Explain stating also the OBJECTIVE of the auditor regarding GC. [Old] Hint: Explain "Going Concern Basis of accounting" given above in notes & Below Objective: - Conclude on the basis of Evidence obtained that whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern; Obtain SAAE about the appropriateness of management's use of GC assumption in the preparation and presentation of the FS; - Determine implications on auditor's report.				
Risk Assessment Procedures:  – Student Specific Code	Q12. When performing RAP (SA 315), Auditor shall consider whether events or conditions exist that may cast significant doubt on the entity's ability to continue as a GC (Old). Answer: Risk Assessment Procedures and Related Activities: - When performing RAP as required by SA 315, Auditor shall consider whether events or conditions exist that may cast significant doubt on entity's ability to continue as a GC. - In so doing, Auditor shall determine whether management has already performed a preliminary assessment of the entity's ability to continue as a going concern, and: <table border="1" data-bbox="342 1640 1507 1959"> <tr> <td data-bbox="342 1640 548 1864"> If such assessment performed </td><td data-bbox="548 1640 1507 1864"> - Auditor shall Discuss assessment with Mngt and - Determine whether Mngt has identified events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern and, if so, management's plans to address them </td></tr> <tr> <td data-bbox="342 1864 548 1959"> If not yet performed </td><td data-bbox="548 1864 1507 1959"> - Auditor shall discuss with Mngt the basis for intended use of GC basis of accounting, and - Inquire of management whether events or conditions exist that, </td></tr> </table>	If such assessment performed	- Auditor shall Discuss assessment with Mngt and - Determine whether Mngt has identified events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern and, if so, management's plans to address them	If not yet performed	- Auditor shall discuss with Mngt the basis for intended use of GC basis of accounting, and - Inquire of management whether events or conditions exist that,
If such assessment performed	- Auditor shall Discuss assessment with Mngt and - Determine whether Mngt has identified events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern and, if so, management's plans to address them				
If not yet performed	- Auditor shall discuss with Mngt the basis for intended use of GC basis of accounting, and - Inquire of management whether events or conditions exist that,				



	individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern.
Remain Alert for Event & Condition:	Auditor shall remain alert throughout the audit for audit evidence of events or conditions that may cast significant doubt on the entity's ability to continue as a going concern SA 315 → At the time of Auditor's assessment of Risk → If, additional audit evidence is obtained that affect the auditor's assessment of Risk → Then, auditor to revise the auditor's risk assessment & → modify FAP

➤ Events or Conditions That May Cast Significant Doubt on the Entity's Ability to Continue as a GC:

Following are the examples:

Financial	Operating	Other
1) Net liability or net current liability position. 2) Fixed-term borrowings approaching maturity without realistic prospects of renewal or repayment; or excessive reliance on short-term borrowings to finance long-term assets. 3) Indications of withdrawal of financial support by creditors . 4) Negative operating cash flows indicated by historical or prospective financial statements. 5) Adverse key financial ratios . 6) Substantial operating losses or significant deterioration in the value of assets used to generate cash flows. 7) Arrears / discontinuance of dividends 8) Inability to pay creditors on due dates 9) Inability to comply with the terms of loan agreements 10) Change from credit to cash-on-delivery transactions with suppliers 11) Inability to obtain financing for essential new product development or other essential investments	1) Loss of key management without replacement 2) Loss of a major market, key customer(s) , franchise, license, or principal supplier(s). 3) Labor difficulties 4) Shortages of important supplies 5) Emergence of a highly successful competitor 6) Management intentions to liquidate the entity or to cease operations	1) Non-compliance with capital or other statutory or regulatory requirements , such as solvency or liquidity requirements for financial institutions. 2) Pending legal or regulatory proceedings against the entity that may, if successful, result in claims that the entity is unlikely to be able to satisfy. 3) Changes in law or regulation or government policy expected to adversely affect the entity. 4) Uninsured or underinsured catastrophes when they occur.

Q13. Give six examples of **operating Conditions** that may cast doubt about going concern assumption.

Hint: Refer Above

Q14. Give six examples of **financial event Conditions** that may cast doubt about going concern assumption.

Hint: Refer Above

➤ Additional Audit Procedures: When Events or Conditions are Identified:

Additional Procedures (Mitigating)	Q15. Which additional audit procedures need to be performed by CA Ram in accordance with SA 570 when such events or conditions are identified ? (MTP'25) SA 570 → In such case, perform additional audit procedures (including mitigating factors) , to
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Factors)	Obtain SAAE that whether or not due to those events, material uncertainty exists for entity ability to continue as Going concern: <i>[Trick: Bhai.. Baaki saari baatein Baad me karenge > tune to abhi tak GC assessment bhi nahi kara > pahle wo Kar > ab bata > Ki isko mitigate karne k liya kya PLAN hai ? Additional Cash kaha se aaega ... yaar teri baatein bilkul reliable nahi lag rhi > tu sab likh ke de (WR)]</i> - Where management has not yet performed an assessment of the entity's ability to continue as a going concern, requesting management to make its assessment Evaluating management's plans for future actions i.r.t. its going concern assessment, whether the outcome of these plans is likely to improve situation and whether mngt plans are feasible in the circumstances. - Considering whether any additional facts or information have become available since the date on which management made its assessment. (Subsequent) - Where the entity has prepared a cash flow forecast, & analysis of the forecast is a significant factor in considering the future outcome of events or conditions in the evaluation of management's plans for future actions: - Evaluating the reliability of the underlying data generated to prepare the forecast; and - Determining whether there is adequate support for the assumptions underlying the forecast. - Requesting written representations from Mngt regarding their future action plans and feasibility of plans.
Above Audit procedure may include: (i.e., Example of Above audit procedure)	Audit procedures that are relevant to the requirement as stated above may include the following: <i>Trick: "Meeting" karo "Legal Council" ke saath > bhai "Customer ke orders" hai > par poora karne k liye "Finance" hi nahi h ... kya kare wo to case kar denge ... Aree koi baat nahi.. tum kaam to suru karo > "subsequently" "Cash" to kahi se bhi aa jaaega > "FS" me jo "asset" hai wo bech denge > "loan" le linge</i> Reading minutes of the meetings of shareholders, those charged with governance and relevant committees for reference to financing difficulties - Inquiring of the entity's legal counsel regarding the existence of litigation and claims and the reasonableness of management's assessments of their outcome - Evaluating the entity's plans to deal with unfilled customer orders. - Confirming the existence, legality and enforceability of arrangements to provide or maintain financial support with related and third parties and assessing the financial ability of such parties to provide additional funds - Performing audit procedures regarding subsequent events to identify those that either mitigate or otherwise affect the entity's ability to continue as a going concern. - Analyzing and discussing cash flow, profit and other relevant forecasts with Mngt - Analyzing and discussing the entity's latest available interim financial statements. - Determining the adequacy of support for any planned disposals of assets - Reading the terms of debentures and loan agreements and determining whether any have been breached - Confirming the existence, terms and adequacy of borrowing facilities. - Obtaining and reviewing reports of regulatory actions

Q16. Near end of audit, Auditor asked cash flow forecast, (1) state two audit procedure i.r.t CF forecast to be perform by auditor ? (2) what is likely purpose & significance of such testing (RTP'24), Or

Q. Company business decreasing, customer / supplier leaving etc → need Cash flow forecast (1) What can be the

likely purpose of CA Z in the above situation (2) two audit procedures in relation to the CF forecast (Jan'25)

Hint:

- (1) Refer above **Point (D)** of "**Additional Procedures (Mitigating Factors)**" i.e., Reliability of Data & Assumption.
- (2) Purpose → (1) Obtain SAAE to conclude appropriateness of G.C basis a/cing used, &
(2) whether M.U exist related to E&C that may cast significant doubt on entity ability to continue as GC.
- (3) Report in accordance with SA 570

Significance of such testing → When GC is appropriate → assets & liabilities are recorded on the basis that entity will be able to realize its assets and discharge liabilities in normal course of business,
If not, Prepare on Liquidation basis → by such testing auditor can check assumption is appropriate or not.

Q17. During audit, notices that company is facing significant skilled labour shortages resulting in hampering of operations of company. → Such a situation has led to company not being able to keep its commitments.
Fixed costs remain high. Company is facing a liquidity crunch. The bankers are also not willing to help. The auditor is having doubts over going concern status of the company

How should management of the company try to address auditor's concerns?

What audit procedures may be performed by auditor in such a situation?

Answer:

- Significant shortage of skilled labour, inability to pay creditors on time and overall liquidity crisis faced by the company are eg. of events or conditions that, may cast significant doubt on the entity's ability to continue as a going concern.
- In such a situation, management should try to address auditor's concerns by preparing its future plan of action including preparation of cash flow forecast showing inflow and outflow of cash. Such a cash flow forecast should address auditor's concerns regarding liquidity crisis being faced by the company.
- The auditor should perform audit procedures to evaluate the reliability of the underlying data to prepare the forecast and determining whether there is adequate support for the assumptions underlying the forecast. The auditor should also consider whether any additional facts or information have become available since the date on which management made its assessment

➤ **Evaluating Management Assessment (Detailed Evaluation or Not Detailed):**

- Auditor shall evaluate mngt assessment of G.C
- It is **not the auditor's responsibility** to rectify the lack of analysis by management

Case 1: (Co. is Healthy)	<u>Author's Note :</u> In Short → If Company is Healthy → Even if mngt has not made detailed assessment → Still auditor can Conclude <u>G.C</u> is appropriate In some circumstances, <u>Lack of detailed analysis by mngt</u> to support its assessment may <u>not prevent auditor from concluding that</u> mngt use of <u>G.C</u> basis is <u>appropriate</u> in circumstances Eg., when <u>there is a history of profitable</u> operations & a ready access to financial resources, mngt may make its assessment without detailed analysis. So, the <u>auditor's evaluation of appropriateness of Mngt's assessment may be made without performing detailed evaluation procedures</u> if auditor's other audit procedures are sufficient.
Case 2: Detailed Evaluation require	<u>In other circumstances, evaluating mngt assessment</u> of the entity's ability to continue as a going concern, <u>may include an evaluation of the:</u> <u>Process mngt followed</u> to make its assessment, → <u>the assumptions</u> on which the assessment is based & <u>mngt's plans for future action</u> and whether mngt's plans are <u>feasible</u> in circumstances

- In evaluating management's assessment → the auditor shall cover the same period as that used by mngt as required by the applicable FRF, or by L&R if it specifies a longer period.
- If mngt's assessment of the entity's ability to continue as GC covers less than 12 months from the date of the

FS, auditor shall **request mngt to extend** its assessment period to at least 12 months from that date.

➤ Implication on Auditor's Report:

When mngt prepared FS on assumption of G.C:

GC is appropriate:	Unmodified Opinion				
Use of GC is Inappropriate:	Adverse opinion: If FS prepared using GC accounting → but in auditor's judgement It's inappropriate <table border="1"> <tr> <td>Liquidation Basis:</td><td>When GC not appropriate, Mngt may elect to prepare FS as per another basis (Liquidation) → Auditor may provide UNMODIFIED OPINION → but mention in EOM para as per SA 706</td></tr> </table>	Liquidation Basis:	When GC not appropriate, Mngt may elect to prepare FS as per another basis (Liquidation) → Auditor may provide UNMODIFIED OPINION → but mention in EOM para as per SA 706		
Liquidation Basis:	When GC not appropriate, Mngt may elect to prepare FS as per another basis (Liquidation) → Auditor may provide UNMODIFIED OPINION → but mention in EOM para as per SA 706				
GC Appropriate but Material Uncertainty Exist: (IMPORTANT)	Q18. auditor comes to a conclusion that use of the GC Basis of Accounting is appropriate, but a MU exists. Discuss the implications for auditor's report <u>if</u>: Adequate Disclosure of a MU is Made in the FS. & <u>If Adequate Disclosure of a MU is Made is Not made</u>: Use of the GC Basis of Accounting is Appropriate but a Material Uncertainty Exists: ➤ Use separate section with a heading that includes reference to the fact that a material uncertainty related to going concern exists alerts users to this circumstance. <table border="1"> <tr> <td>Case A) Adequate Disclosure of a Material Uncertainty is Made in the Financial Statements</td><td> • Unmodified opinion, And • separate section: "Material Uncertainty Related to G.C" ✓ Draw attention to FS note, that disclose such matter ✓ State event & condition that M.U exist may cast significant doubt on entity ability to continue as G.C (and auditor's opinion is not modified i.r.t that matter) </td></tr> <tr> <td>Case B) Adequate Disclosure of a Material Uncertainty is Not Made in the FS</td><td> • Qualified opinion or Adverse opinion : As SA 705 • In Basis for Qualified (Adverse) Opinion: State that → material uncertainty exists → may cast significant doubt on entity's ability to continue as a GC and FS do not adequately disclose this matter </td></tr> </table>	Case A) Adequate Disclosure of a Material Uncertainty is Made in the Financial Statements	• Unmodified opinion, And • separate section: "Material Uncertainty Related to G.C" ✓ Draw attention to FS note, that disclose such matter ✓ State event & condition that M.U exist may cast significant doubt on entity ability to continue as G.C (and auditor's opinion is not modified i.r.t that matter)	Case B) Adequate Disclosure of a Material Uncertainty is Not Made in the FS	• Qualified opinion or Adverse opinion : As SA 705 • In Basis for Qualified (Adverse) Opinion: State that → material uncertainty exists → may cast significant doubt on entity's ability to continue as a GC and FS do not adequately disclose this matter
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Mngt not extend assessment	In case mngt unwilling to make or extend its assessment : Auditor shall consider the implications for auditor's report → Qualified or Disclaimer				

Q19. In audit CA Y notices that **company has lost one of its key markets & customers**. Despite the existence of **material uncertainty**, CA Y finds the use of G.C basis appropriate for preparation of FS. The company has **also disclosed** material uncertainty in notes to accounts adequately. How to report? (RTP'24)

Answer: As per SA 570, "Going concern", → auditor shall express an **unmodified opinion** → include a separate section under the heading "Material Uncertainty Related to Going Concern" to: -

- Draw attention to the note in the financial statements that discloses such matters..
- State that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the auditor's opinion is **not modified** in respect of the matter

➤ Significant Delay in the Approval of Financial Statements

If there is significant **delay in the approval of the FS by Mngt** or TCWG after the date of the FS:

- The auditor shall inquire as to the **reasons** for the delay.
- If the auditor believes that the delay could be related to **events or conditions relating to GC assessment**,
- The auditor shall perform those **additional audit procedures** necessary,

- As well as consider **effect on the auditor's conclusion** regarding the existence of a material uncertainty.

➤ **Adequate Disclosure in FS when Event/Condition identified & M.Uncertainty exist**

- **Principal events or conditions** may cast significant doubt on entity's ability to continue as GC
- management's **plans to deal** with them
- Disclose that significant doubt on GC, may **unable to realize its assets and discharge its liabilities** in the normal course of business.

Q20. statutory auditor of MNO Ltd. is suffering losses, many **competitor**, thereby leading to **negative networth**. Also, **key management personnel**, of the company left the company due to health issues. When **CA Amar**, the engagement partner did not get any satisfactory reply from the mngt. What is the responsibility of M/s ANS & Co with regard to SA 570?

Answer:

SA 570 → objectives of the auditor regarding G.C is to **obtain SAAE** regarding the same and to conclude on the appropriateness of the Mngt's use of the G.C basis of accounting in the preparation of FS.

- Contains the **list of events or conditions** that may cast significant doubt on the entity's ability to continue as a going concern which are:
 - ✓ **Financial indicator- Negative net-worth**
 - ✓ **Operating indicator- Loss of key management** and emergence of highly successful competitor.
- In the present case, MNO Ltd. has negative net-worth on account of emergence of highly successful competitor and the sales head of the company has also left the company.
- Also, CA Amar did not get any satisfactory reply when he discussed the GC matter with management.
- Thus, from the above facts, it **appears** that MNO Ltd. is **not going concern**.
- If the management of MNO Ltd. has used the going concern basis of accounting, the auditor should first **ask the management to adjust the financial statements**.
- If mngt of MNO Ltd. does not agree with the same, CA Amar shall **consider impact on his audit report**

Q21. Startup, currently in Loss, However Likely to **increase Revenue** in future, also able to **Meet it's Financial Commitment** → can it prepare FS on GC ? and **how does GC impact FS preparation ? (MTP' 24 → Hint)**

Hint: SA 570 → It shows that management has neither intention nor necessity of liquidation. Therefore, **going concern basis of accounting** in current year is appropriate.

When G.C is appropriate → assets & liabilities are recorded on basis that entity able to realise its assets and discharge its liabilities

When an enterprise is not viewed as a going concern, the FS are prepared on liquidation basis. For example, inventories may need to be written down as these may be sold for a lower price. Assets may have to be recorded at the likely prices they will fetch.

SA 580 - WRITTEN REPRESENTATIONS:

Definition:

WR may be defined as a:

- **Written** statement by **management**
- provided **to the auditor**
- **to confirm certain matters** or to **support other audit evidence**.
- WR do **not include** financial statements, assertions therein, or supporting books and records



WR as Audit Evidence: [A.evidence kya hota hai ? Kya ye A. evidence hai ? Ha hai par SAAE nii hai .. baaki evidence bhi chahiye]	Q22. The auditor requests management to provide Banker's certificate in support of Fixed deposits whereas mngt provides only written representation on the matter., Or, Q. "Although WR provide necessary A.evidence yet they do not provide SAAE Discuss Answer: • Audit Evidence: info. used by auditor in arriving at conclusions on which audit opinion is based. • Similar to inquiry it's A.Evidence: W.R are necessary information that auditor requires in audit. Accordingly, similar to responses to inquiries, written representations are audit evidence. • Requested From: those responsible for preparation & presentation of FS. • Not SAAE: Although WR provide necessary audit evidence, they do not provide SAAE on their own about any of the matters with which they deal. • Not affect other Evidence: Furthermore, fact that mngt has provided reliable W.R. does not affect the nature or extent of other audit evidence that the auditor obtains about the fulfillment of mngt's responsibilities, or about specific assertions. • If mngt not provide W.R → alert auditor for possibility for significant issue • For Rigorous matters → request Written W.R (rather than Oral) → To enhance quality Applying the above to the given problem, the auditor would further request the management to provide him with the Banker's certificate in support of fixed deposits held by the company.
Objective of Auditor:	Q23. Audit evidence is all the info used by the auditor in arriving at the conclusions. WR are necessary info. Explain stating clearly objectives of auditor regarding W.R Hint: → Mention above topic: "WR as Audit evidence" & Below Objective To obtain WR: from mngt. that mngt has fulfilled it's responsibility for preparation of FS & completeness of info. Provided to auditor To support other evidence: relevant to the FS or specific assertions in the FS by means of WR To respond appropriately: respond appropriately to W.R
From Which mngt:	Obtain WR from the management or TCWG (CEO/CFO etc.) ✓ With appropriate responsibility of FS & ✓ Having knowledge of the matter
Qualifying Language: (MCQ)	Sometimes management may use Qualifying language , " W.R. is to the best of knowledge & belief " → auditor to <u>accept such wording Only if the auditor is satisfied that the person who is giving representations have appropriate responsibility & knowledge of the matters included in representations.</u>

Written Representation Require for: ("Refer Additional PDF" for Detail)

Management Responsibility  – Student Specific Code	Q24. W.R about management's responsibilities involves confirmation of fulfilment of management's responsibilities in the preparation of the FS providing the relevant information . Explain Shall be described in " Written representations required about management responsibilities ", same as described in terms of engagement. - Request mngt to provide a WR that it has fulfilled its responsibility for preparation of FS in accordance with the applicable FRF. As Mngt would be expected to have sufficient knowledge of the process followed by entity in preparing and presenting the FS and the assertions therein on which to base the W.R. Information provided and completeness of transactions. • It has provided the auditor with all relevant information and access as agreed in the terms of the audit engagement. • All transactions have been recorded and are reflected in the financial statements.
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(Answer Ends Here)

W.R about mngt responsibility is MANDATORY → Must obtain Confirmation even if got the Evidence:

Auditor has obtained the A. Evidence that mngt has fulfilled the responsibilities & about information provided + Completeness of transaction → But it is not sufficient → He Must obtain confirmation from mngt about the same → because auditor is not able to judge solely on other audit evidence, that whether mngt has prepared/presented FS on basis of agreed responsibility
i.e., Auditor to **not conclude that mngt has provided all relevant information** without asking confirmation for it

Other W.R

[May'25]

Accounting of
Assets / Liability
/ L&R

Other SA's may require representation, if in addition to that also auditor determines that W.R require to support other evidence relevant for FS or assertion → Request such W.R.

Q25. Auditor asked W.R from mngt for Responsibility reg. preparation of FS → In Addition Auditor MAY request other W.R about FS. (May'25)

In addition to the WR about mngt's responsibilities regarding preparation of FS:

The auditor may consider it necessary to request other WR about FS. Such WR may supplement, but do **NOT** form part of, W.R. relating to management's responsibilities, May Include following:

- Whether the selection and application of **accounting policies** are appropriate; and
- Whether matters such as the following, where relevant under the applicable FRF, have been recognized, measured, presented or disclosed in accordance with that framework:
 - Plans or intentions** that may affect carrying value / classification of assets & liabilities;
 - Title to, or control over, assets, the liens or** encumbrances on assets, and assets pledged as collateral; and
 - Liabilities**, both actual and contingent.
 - Aspects of **laws, regulations** and contractual agreements that may affect FS, including non-compliance.

Info given to Auditor:

In addition to mngt responsibility reg. info provided to auditor → may request mngt for W.R. → that **mngt has communicated all deficiencies in I.C to auditor** (of which mngt is aware)

Specific Assertion:

May request mngt for W.R → About specific assertion on FS → to support audit evidence of mngt **judgment or intent** in relation to, or the completeness of, a specific assertion. (intent of mngt for valuation of investment)

When obtaining evidence about, or evaluating, judgments and intentions, the auditor may consider one or more of the following:

- The **entity's past history** in carrying out its stated intentions.
- The entity's **reasons** for choosing a particular course of action.
- The entity's **ability** to pursue a specific course of action.
- The existence or lack of **any other information** obtained during course of audit that may be **inconsistent with management's judgment or intent**.

Matters to be included in Written Representation Letter → Relating to Financial Statements

Q26. Company has recently completed financial reporting of Yr 2026 (including FS prepared) → as a KMP → Illustrate the matters you would include in the W.R relating to the Financial Statements [Jan'26]

- We have **fulfilled our responsibilities**, as set out in the **terms of the audit engagement** dated _____, for **preparation of the FS**, the financial reporting Standards in statements give a **true and fair view** in accordance with the applicable accounting standards in India.
- Significant assumptions** used by us in **making accounting estimates**, including those measured at fair value, are

reasonable. (SA 540)

- 3) **Related party relationships** and transactions have been appropriately accounted for and disclosed in accordance with the requirements of applicable accounting standards in India. (SA 550)
- 4) **All events subsequent** to the date of the FS and for which applicable AS in India require adjustment or disclosure have been adjusted or disclosed. (SA 560)
- 5) The effects of **uncorrected misstatements are immaterial**, both individually and in the aggregate, to the FS as a whole. A list of the uncorrected misstatements is attached to the representation letter. (SA 450)

RE-CONFIRMATION OF MATTERS REQUIRE WHEN:

Other SA's may require representation, if in **addition to that also** auditor determines that W.R require to support other evidence relevant for FS or assertion → Request such W.R.

The auditor may also ask management to reconfirm its acknowledgement and understanding of those responsibilities in written representations, This is particularly appropriate when:

(Trick → Badal Gya → Banda Badal gya .. ya circumstances badal gyi Ya galat samaj → Auditor apni terms, ya mngrt apni responsibility)

- Those who signed the terms of audit engagement on behalf of entity **no longer** have relevant responsibilities.
- **Changes in circumstances** make it appropriate to do so.
- The **terms of audit engagement** were prepared in a **previous year**.
- There is any indication that **management misunderstands those responsibilities**;

Q27. CA R Gurumurthy is about to complete audit of a company. Before completion, **he asks mngrt** to provide him a **W.R. confirming that mngrt has fulfilled its responsibilities** regarding preparation of FS. **The management feels that auditor is seeking irrelevant documents** near the completion of audit.

Hint: Refer above TOPIC of "**W.R about mngrt responsibility is MANDATORY → Must obtain Confirmation even if got the Evidence:**" in "management responsibility"

Hence, **The view of management is not proper**. & In case of refusal of management to provide such a confirmation, it may lead to disclaimer of opinion by the auditor

[Author's Note: This Qn is asked Twice, 2nd Time in RTP'26 → Along with Above Answer, ICAI has also mentioned "**RE-CONFIRMATION OF MATTERS REQUIRE WHEN**" this topic in answer]

Q28. CA K is **re-appointed as the auditor** of B Ltd. He wants to **re-confirm certain matters** and has asked the management **to give written representations** for the **same**. (Old & MTP'25)

Hint: Refer Above: **RE-CONFIRMATION OF MATTERS REQUIRE WHEN:**

(Above Answer End)

Matters covered in WR:	Mngrt resp.:	Description of Management's Responsibilities in WR i.e., Preparation of FS
	Info provided:	Information Provided and Completeness of Transactions, WR that: • It has provided auditor with all relevant info & access as agreed in terms • All transactions have been recorded and are reflected in FS
	Other W.R:	Other SAs require the auditor to request written representations
Date of WR:	Shall be as near as practicable to the date of A.report, but not after , the date of the auditor's report on the F.S. → The auditor's report cannot be dated, before the date of the W.R	
Period Covered:	• The WR shall be for all financial statements and period(s) referred to in the auditor's report. • Because mngrt need to re-affirm that the W.R it previously made with respect to the prior periods remain appropriate • When Current mngrt were not present during all the Period referred in Auditor's report → still	



	requirement of W.R that cover the whole of relevant period(s) still applies. (Mngt can not deny by asserting that they were not present during that period, so can't give W.R for that period)								
Form of WR:	- It shall be in the form of a representation letter addressed to the auditor. Not Needed to include again the Public Statement: If L&R requires mngt to make written public statements about its responsibilities, matters covered by such statements need not be included in the representation letter.								
Doubt over reliability of W.R [Link: SA 505 → 1) Doubt over rel: Obtain Further Evid to resolve 2) Not Reliable: eval implic ROMM asses of Fraud & NTE of othr A.Pro]	Q29. Auditor obtained W.R from mngt regarding all known non-compliance of L&R are disclosed, But later he observed that Evidence contradicted WR, casting doubt on reliability. (MTP25) <table border="1"> <tr> <td>If auditor has concerns about the competence, integrity, ethical values or diligence of management, or about its commitment →</td><td>Auditor shall determine the effect on: ✓ Reliability of representations (oral or written) and ✓ Audit evidence in general</td></tr> <tr> <td>if WR inconsistent with other audit evidence →</td><td>Perform audit procedures to resolve the matter</td></tr> <tr> <td>If matter remains unresolved →</td><td>Reconsider the assessment of competence, integrity, ethical values or diligence of mngt, or of its commitment to or enforcement of these, & shall determine the effect of this on • Reliability of representations (oral or written) and • Audit evidence in general.</td></tr> <tr> <td>If auditor concludes that the WR are not reliable →</td><td>Take appropriate actions, including effect on opinion in the auditor's report as per SA 705. (MCQ: Disclaimer)</td></tr> </table>	If auditor has concerns about the competence, integrity, ethical values or diligence of management, or about its commitment →	Auditor shall determine the effect on: ✓ Reliability of representations (oral or written) and ✓ Audit evidence in general	if WR inconsistent with other audit evidence →	Perform audit procedures to resolve the matter	If matter remains unresolved →	Reconsider the assessment of competence, integrity, ethical values or diligence of mngt , or of its commitment to or enforcement of these, & shall determine the effect of this on • Reliability of representations (oral or written) and • Audit evidence in general.	If auditor concludes that the WR are not reliable →	Take appropriate actions , including effect on opinion in the auditor's report as per SA 705. (MCQ: Disclaimer)
If auditor has concerns about the competence, integrity, ethical values or diligence of management, or about its commitment →	Auditor shall determine the effect on: ✓ Reliability of representations (oral or written) and ✓ Audit evidence in general								
if WR inconsistent with other audit evidence →	Perform audit procedures to resolve the matter								
If matter remains unresolved →	Reconsider the assessment of competence, integrity, ethical values or diligence of mngt , or of its commitment to or enforcement of these, & shall determine the effect of this on • Reliability of representations (oral or written) and • Audit evidence in general.								
If auditor concludes that the WR are not reliable →	Take appropriate actions , including effect on opinion in the auditor's report as per SA 705. (MCQ: Disclaimer)								
W.R Not provided: [SA 505: ::Reason ::Implication :: Altr A.pro]	Q30. The Partner AB & Co, CA, asked the mngt to provide statements from the creditors but the management did not provide the requested WR. Discuss how the auditor would proceed. Answer: As per SA 580, (<u>Define W.R</u>), If mngt does not provide WR requested, Auditor shall: Discuss the matter with management Re-evaluate the integrity of mngt and evaluate the effect that this may have on the reliability of representations (oral or written) and audit evidence in general; and Take appropriate actions, including determining the possible effect on the opinion in the auditor's report in accordance with SA 705								
Disclaimer when:	Auditor shall disclaim the opinion on FS as per SA 705 when: Mngt does not provide W.R regarding → Mngt has fulfilled its responsibility for preparation of FS & information provided and completeness of transactions - W.R. is provided but, Sufficient doubt about the integrity of management, that → W.R. about mngt has fulfilled responsibility reg. preparation of FS & information provided and completeness of transactions are not reliable								

Q31. Mngt of PQ Ltd. **changed during the period** under audit. Mr. G an auditor, at the time of receiving W.R on the Mngt responsibilities from the mngt, was in a dilemma related to the **date of and period(s) covered** by the WR. Further, new mngt was of the view that they can give WR from the date they took over and **not for the prior period**. Guide the auditor & the management in this respect.

Hint:

- SA 580 → date of the WR shall be as **near as practicable** to, but **not after**, the date of the auditor's report on the FS & W.R **shall be for all FS** and period(s) referred to in the auditor's report.
- Furthermore, because the auditor is concerned with events occurring up to the date of the auditor's report that may require adjustment to or disclosure in the FS, the WR are **dated as near as practicable to, but not after**, the date of the auditor's report on the FS.

- The W.R are for all periods referred to in the auditor's report because management needs to reaffirm that the written representations it previously made with respect to the prior periods remain appropriate.
- Situations may arise where current management were not present during all periods referred to in the auditor's report. This fact, however, does not diminish such persons' responsibilities for the FS as a whole.. In view of above, management is required to provide the WR for all the periods even when current management were not present during all periods referred to in the auditor's report.

Q32. completed the audit and issued the audit report dated June 30, 2024 → W.R. dated 29/06/24 (Hint)

Hint: → Yes, written representations have been obtained appropriately ([Full Covered in PDF](#))

SA 450 – Evaluation of Misstatements Identified during the Audits

Meaning of misstatement	Difference between: Amounts, classification, presentation, or disclosure of a reported FS item (ACPD) And amount, classification, presentation or disclosure (ACPD) that is required for the item to be in accordance of FRF.
Objective:	Evaluate: a) Effect of identified misstatements on audit & b) effect of uncorrected misstatements , if any on FS
Uncorrected Misstatement:	Refer to those misstatements that the auditor has accumulated during the audit and that have not been corrected
Accumulated Misstatement:	auditor shall accumulate misstatements identified during the audit, other than those that are clearly trivial. Eg. An entity has wrongly capitalized machinery repair expenses amounting to Rs.5 lacs resulting in overstatement of profits. It is an example of misstatement.
Audit Docs when misstatement identified:	Q33. State audit documentation required regarding misstatements identified in audit. (May'24) The audit documentation shall include: - (a) The amount below which misstatements would be regarded as clearly trivial ; (b) All misstatements accumulated during the audit & whether they have been corrected ; (c) The auditor's conclusion as to whether uncorrected misstatements are material , individually or in aggregate, and the basis for that conclusion
Sources of Misstatement: <i>Data ko galat gather kara ... ya galat process kara ... ya galat disclose kara</i> <i>Ya sab galat A/cing estimate & galat Judgement ki wjh se hoa</i>	Q34. Identify the sources of misstatements. [Old] Answer: According to SA 450 "Evaluation of Misstatements identified during the Audit", the following are the sources of misstatements arising from other than fraud (i) Inaccuracy in gathering or processing data from which the FS are prepared; (ii) Omission of an amount or disclosure ; (iii) Incorrect A/cing estimate arising from overlooking, or clear misinterpretation of facts; (iv) Judgments of mngt concerning a/cing estimates that the auditor considers unreasonable or the selection and application of a/cing policies that the auditor considers inappropriate
Consideration of Identified Misstatements as the Audit Progresses (Revision)	Determine whether the overall audit strategy and audit plan need revision if: • Nature of identified misstatements, indicate that other misstatements may exist, when aggregated misstatements could be material. • aggregate of misstatements accumulated approaches materiality as per SA320 ➤ Request mngt to perform procedures to determine the reason & amount of the actual misstatement in C/A/D/S and to make appropriate adjustments to the FS.



	➤ If Corrected by mngt → perform additional audit procedures to determine whether misstatements remain.
Communicating misstatement: (Usefulness of Such Communication)	Q35. Auditor is of view that company is not complying AS-9 & has understated the revenue by Rs. 50 lacs, (i) Discuss auditor responsibility as per SA 450 for such communication & it's usefulness (ii) what if mngt refused to correct this misstatement (MTP-2024) - Auditor shall communicate on a timely basis all misstatements accumulated during the audit with the appropriate level of mngt, unless prohibited by L&R. - The auditor shall request management to correct those misstatements. - Timely communication is necessary → as it enables management to evaluate whether the items are misstatements, inform the auditor if it disagrees and take action as necessary. - The correction by mngt of all misstatements, including those communicated by the auditor, enables mngt to maintain accurate accounting books and records and reduces the risks of material misstatement of future FS because of the cumulative effect of immaterial uncorrected misstatements related to prior periods If mngt refuses to correct some or all of the misstatements communicated by the auditor, the auditor shall obtain an understanding of management's reasons for not making the corrections and shall take that understanding into account when evaluating whether the FS as a whole are free from MMS.

➤ Evaluate Effect of Uncorrected Misstatement:

Q36. auditor has intimated the mngt those certain misstatements identified during audit need to be corrected. As an auditor, discuss the impact of such misstatements in case the not corrected. **[Old]**

Answer:

Reassess Materiality:	Prior to evaluating the effect of uncorrected misstatements, the auditor shall reassess materiality determined in accordance with SA 320 to confirm whether it remains appropriate.
Whether Uncorrected misstatement is Material?	As per SA 450, auditor shall determine whether uncorrected misstatements are material, individually or in aggregate. <u>In making this determination, the auditor shall consider:</u> (i) The size & nature of the misstatements, both in relation to particular C/A/D/S and the FS as a whole, and the particular circumstances of their occurrence; & (ii) The effect of uncorrected misstatements related to prior periods on the relevant C/A/D/S, and the FS as a whole.
Communicate to TCWG (Request to correct):	- Auditor shall communicate this with TCWG uncorrected misstatements & the effect of it individually or in aggregate, may have on opinion in auditor's report, unless prohibited by L&R. - The auditor's communication shall identify material uncorrected misstatements individually. The auditor shall request that uncorrected misstatements be corrected. - Also communicate with TCWG the effect of uncorrected misstatement related to prior period.
If mngt refuse:	If mngt refuse to adjust the FS: - Understand reason. Reassess the materiality. If material, communicate uncorrected misstatements & their effect on his opinion to TCWG with a request that uncorrected misstatements be corrected.
Written Represen. If Immaterial	As per mngt, if effect of such uncorrected misstatement is immaterial then auditor shall request for a written representation from mngt &, where appropriate, TCWG that whether they believe the effects of uncorrected misstatements are immaterial, individually and in aggregate, to F.S as a whole. <u>A summary of such items shall be included in or attached to W.R.</u>



Q37. During audit, it's noticed that inventory was overvalued by Rs. 2 crore. & freight of Rs.10 lacs paid on import of machinery was charged P&L. how you proceed & communicate above before signing audit report

Hint: → The instances highlighted in the above situation are **examples of misstatements**.

Auditor should communicate above identified misstatements to TCWG & request for correction of misstatements. In case, these are not corrected, understand reasons for not making the corrections & reassess materiality. It should also be considered whether uncorrected statements are material individually or in aggregate. **Effect of uncorrected misstatements on the opinion in auditor's report** should be communicated to TCWG.

Q38. 2 misstatement were not corrected by mngt → he want to Obtain W.R reg. effect of Uncorrected Misstatement. (Describe matters in such W.R) → also Discuss Documentation reg. Misstatement [MTP'25]

Hint: Refer above topics → "Written Represen. If Immaterial" & "Audit Docs when misstatement identified"



THANK YOU